FINANCIAL STATEMENT ANALYSIS FRAMEWORK

Learning Outcome

- describe the steps in the financial statement analysis framework

Analysts work in a variety of positions within the investment management industry. Some are equity analysts whose main objective is to evaluate potential investments in a company's equity securities as a basis for deciding whether a prospective investment is attractive and what an appropriate purchase price might be. Others are credit analysts who evaluate the creditworthiness of a company to decide whether (and on what terms) a debt investment should be made or what credit rating should be assigned. Analysts may also be involved in a variety of other tasks, such as evaluating the performance of a subsidiary company, evaluating a private equity investment, or finding stocks that are overvalued for purposes of taking a short position.

Exhibit 1 presents a generic framework for financial statement analysis used in these various roles.

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Exhibit 1:

Financial Statement Analysis Framework

Phase	Sources of Information	Output
Articulate the purpose and context of the analysis.	▪ The nature of the analyst's function, such as evaluating an equity or debt investment or issuing a credit rating. ▪ Communication with client or supervisor on specific needs and concerns. ▪ Institutional guidelines related to developing specific work product.	▪ Statement of the purpose or objective of analysis. ▪ A list (written or unwritten) of specific questions to be answered by the analysis. ▪ Nature and content of report to be provided. ▪ Timetable and budgeted resources for completion.
Collect data.	▪ Financial statements, other financial data, questionnaires, and industry/economic data. ▪ Discussions with issuer investor relations, management, suppliers, customers, competitors, and company or industry experts. ▪ Company site visits (e.g., to production facilities or retail stores).	▪ Financial statements and other quantitative data in a usable form, such as a spreadsheet. ▪ Completed questionnaires, if applicable.
Process data.	Data from the previous phase.	▪ Adjusted financial statements.

		statements. ▪ Ratios and graphs.
Analyze/interpret the data.	Input data as well as processed data.	▪ Analytical results. ▪ Forecasts. ▪ Valuations.
Develop and communicate conclusions and recommendations (e.g., with an analysis report).	▪ Analytical results and previous reports. ▪ Institutional guidelines for published reports.	▪ Analytical report answering questions posed in Phase 1. ▪ Recommendation regarding the purpose of the analysis, such as whether to make an investment or extend credit.
Follow-up.	Information gathered by periodically repeating the previous steps as necessary to determine whether changes to holdings or recommendations are necessary.	▪ Comparison of actual to expected results ▪ Revised forecasts ▪ Updated reports and recommendations.

The following sections discuss the individual phases of financial statement analysis.

Articulate the Purpose and Context of the Analysis

Before undertaking any analysis, it is essential to understand the purpose of the analysis. An understanding of the purpose is particularly important in financial statement analysis because of the numerous available techniques and the substantial amount of data.

Some analytical tasks are well defined, in which case articulating the purpose of the analysis requires little decision making by the analyst. For example, a periodic credit review of an investment-grade debt portfolio or an equity analyst's quarterly report on a particular company may be guided by institutional norms such that the purpose of the analysis is given. Furthermore, the format, procedures, or sources of information may also be given.

For other analytical tasks, articulating the purpose of the analysis requires the analyst to make decisions about the approach, the tools, the data sources, the format in which to report the results of the analysis, and the relative importance of different aspects of the analysis.

When facing a substantial amount of data, a less experienced analyst may be tempted to start calculating ratios without considering what is relevant for the decision at hand. It is generally advisable to resist this temptation and thus avoid unnecessary or pointless efforts. Consider the questions: If you could have all the calculations and ratios completed instantly, what question would you be able to answer? What decision would your answer support?

The analyst should also define the context at this stage. Who is the intended audience? What is the deliverable—for example, a final report explaining conclusions and recommendations? What is the time frame (i.e., when is the report due)? What resources and resource constraints are relevant to completion of the analysis? Again, the context may be predefined (i.e., standard and guided by institutional norms).

Having clarified the purpose and context of the financial statement analysis, the analyst should next compile the specific questions to be answered by the analysis. For example, if

particular industry, specific questions would include the following: What has been the relative growth rate of the companies, and what has been their relative profitability?

Collect Data

Next, the analyst obtains information required to answer the specific questions. A key part of this step is obtaining an understanding of the target company's business model, financial performance, and financial position (including trends over time and relative to peer companies). Financial statement data alone may be adequate in some cases. For example, to screen a large number of companies to find those with a minimum level of historical profitability or sales growth, financial statement data alone would be adequate. But to address more in-depth questions, such as why and how one company performed better or worse than its competitors, additional information would be required.

Furthermore, information on the economy and industry is necessary to understand the environment in which the company operates. Analysts often take a top-down approach whereby they (1) gain an understanding of an issuer's macroeconomic environment, such as prospects for growth in the economy and inflation; (2) analyze the prospects of the industry in which the company operates, based on the expected macroeconomic environment; and (3) determine the prospects for the company given the expected industry and macroeconomic environments. For example, an analyst may need to forecast future growth in earnings for a company. Past company data provide the platform for statistical forecasting; however, an understanding of economic and industry conditions and an outlook for them can improve the analyst's ability to make forecasts.

Process Data

After obtaining the requisite financial and other information, the analyst processes these data using appropriate analytical tools. For example, processing the data may involve computing ratios or growth rates; preparing common-size financial statements; creating charts; performing statistical analyses, such as regressions or Monte Carlo simulations; making forecasts; performing valuations; performing sensitivity analyses; or using any other analytical tools or combination of tools that are available and appropriate for the task. A comprehensive financial analysis at this stage may include the following:

- Reading and evaluating financial results for each company being analyzed. This includes understanding any factors that may affect comparability between companies, such as differences in business models, operating decisions (e.g., leasing versus purchasing fixed assets), accounting policies (e.g., when to report revenue on the income statement), and tax jurisdictions.
- Making any needed adjustments to the financial statements or using alternative measures to facilitate comparison. Note that commonly used databases do not always make such analyst adjustments.
- Preparing or collecting common-size financial statement data (which scale data to directly reflect percentages [e.g., of sales] or changes [e.g., from the prior year]) and financial ratios (which are measures of various aspects of corporate performance based on financial statement elements. Analysts can use these to evaluate a company's relative profitability, liquidity, leverage, efficiency, and valuation in relation to past results or peers.

Analyze/Interpret the Data

Once the data have been processed, the next step—critical to any analysis—is to interpret the output. The answer to a specific question is seldom the numerical answer alone. Rather, the answer relies on the analyst's interpretation of the output, and the use of this interpreted output to support a conclusion or recommendation. The answers to the specific analytical questions may themselves achieve the underlying purpose of the analysis, but usually, a conclusion or recommendation is required. For example, an equity analysis may involve forecasts of earnings, free cash flow, and a range of fair value estimates that would be used to issue a buy, hold, or sell recommendation. A credit analyst may also create

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Develop and Communicate Conclusions and Recommendations

Communicating the conclusion or recommendation in an appropriate format is the next step. The appropriate format will vary by analytical task, by institution, or by audience. For example, an equity analyst's report for external distribution would typically include the following components:

- summary and investment conclusion;
- industry overview and competitive analysis;
- financial statement model, potentially with several scenarios;
- valuation; and
- investment risks.

The contents of reports may also be specified by regulatory agencies or professional standards. For example, the CFA Institute *Standards of Practice Handbook* (*Handbook*) dictates standards that must be followed in communicating recommendations. According to the *Handbook*:

> *Standard V(B) states that members and candidates should communicate in a recommendation the factors that were instrumental in making the investment recommendation. A critical part of this requirement is to distinguish clearly between opinions and facts. In preparing a research report, the member or candidate must present the basic characteristics of the security(ies) being analyzed, which will allow the reader to evaluate the report and incorporate information the reader deems relevant to his or her investment decision making process.*[1]

The *Handbook* requires that limitations to the analysis and any risks inherent to the investment be disclosed. Furthermore, it requires that any report include elements important to the analysis and conclusions so that readers can evaluate the conclusions themselves.

Follow-Up

The process does not end with the report. If an equity investment is made or a credit rating is assigned, periodic review is required to revise forecasts and recommendations based on the receipt of new information. In the case of a rejected investment, subsequent analyses may still be required should the security price or business conditions change. Follow-up may involve repeating all the previous steps in the process on a periodic basis.

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